$60k Self-Pay: Toward IUL vs. Straight into SPY

$5M IUL | You pay $60k/yr for 10 yrs | Compare at Year 25 (age 70) | No tax assumptions | 3 historical windows

Option A — Pay $60k/yr INTO the IUL

You pay $60,000/yr out of pocket for 10 years = $600,000 total The remaining $206,675/yr is financed by the lender Total premium $266,675/yr still goes into the policy → Smaller loan = more surplus after repayment at Year 20 → Policy continues growing, you draw income from Year 21 → $5M death benefit the whole time

Option B — Skip the $60k, invest in SPY instead

You invest $60,000/yr directly into S&P; 500 for 10 years = $600,000 total Full S&P; 500 returns — no cap, no floor, no policy charges Let it compound untouched through Year 25 (age 70) → Pure market returns on your $600k → No IUL, no death benefit, no tax-free income → But full upside exposure to the market

1. WHAT YOU HAVE AT YEAR 25 (AGE 70) — ALL THREE SCENARIOS

Scenario	Years	Your cash invested	IUL Value @ Year 20	IUL Value @ Year 25	SPY Value @ Year 25	Winner @ Year 25	IUL Advantage (extra you keep)
SCENARIO A	2005–2024	$600,000	**$5,337,035**	**$7,084,801**	$3,944,939	**IUL**	**$3,139,862**
SCENARIO B	2003–2022	$600,000	**$4,692,938**	**$6,977,460**	$3,770,806	**IUL**	**$3,206,654**
SCENARIO C	2000–2019	$600,000	**$3,986,035**	**$6,178,022**	$2,986,887	**IUL**	**$3,191,134**

SCENARIO A: 2005–2024 — Best case — GFC + COVID recovery

Your total invested: $600,000	IUL @ Year 25: $7,084,801	SPY @ Year 25: $3,944,939	IUL wins by $3,139,862

Yr	Age	Cal	S&P; Return	Credited (IUL)	Loan Rate	Loan Balance	IUL Value	SPY Value	IUL vs SPY (difference)
1	46	2005	3.0%	**3.0%**	4.22%	$215,397	$270,675	$61,800	**$208,875**
2	47	2006	**13.6%**	**13.5%**	**6.32%**	$448,747	$601,832	$138,389	**$463,443**
3	48	2007	3.5%	**3.5%**	**6.02%**	$694,878	$886,138	$205,392	**$680,746**
4	49	2008	**-38.5%**	**0.0%**	3.13%	$929,772	**$1,135,521**	$163,243	**$972,278**
5	50	2009	**23.4%**	**13.5%**	1.24%	$1,150,539	**$1,570,459**	$275,593	**$1,294,866**
6	51	2010	12.8%	**12.8%**	1.29%	$1,374,722	**$2,044,363**	$378,482	**$1,665,881**
7	52	2011	0.0%	**0.0%**	1.25%	$1,601,164	**$2,276,372**	$438,482	**$1,837,890**
8	53	2012	13.4%	**13.4%**	1.31%	$1,831,522	**$2,845,924**	$565,328	**$2,280,596**
9	54	2013	**29.6%**	**13.5%**	1.24%	**$2,063,470**	**$3,486,111**	$810,426	**$2,675,685**
10	55	2014	11.4%	**11.4%**	1.23%	**$2,298,068**	**$4,123,937**	$969,567	**$3,154,369**
11	56	2015	**-0.7%**	**0.0%**	1.32%	**$2,328,403**	**$4,062,078**	$962,489	**$3,099,588**
12	57	2016	9.5%	**9.5%**	1.97%	**$2,374,272**	**$4,388,669**	$1,054,311	**$3,334,358**
13	58	2017	**19.4%**	**13.5%**	2.30%	**$2,428,880**	**$4,915,309**	$1,259,058	**$3,656,251**
14	59	2018	**-6.2%**	**0.0%**	3.36%	**$2,510,491**	**$4,841,579**	$1,180,493	**$3,661,086**
15	60	2019	**28.9%**	**13.5%**	3.16%	**$2,589,822**	**$5,422,569**	$1,521,419	**$3,901,150**
16	61	2020	**16.3%**	**13.5%**	1.37%	**$2,625,303**	**$6,073,277**	$1,768,802	**$4,304,475**

Yr	Age	Cal	S&P; Return	Credited (IUL)	Loan Rate	Loan Balance	IUL Value	SPY Value	IUL vs SPY (difference)
17	62	2021	26.9%	13.5%	1.05%	$2,652,869	$6,802,070	$2,244,433	$4,557,638
18	63	2022	-19.4%	0.0%	3.28%	$2,739,883	$6,700,039	$1,808,115	$4,891,924
19	64	2023	24.2%	13.5%	6.02%	$2,904,824	$7,504,044	$2,246,221	$5,257,823
20	65	2024	23.3%	13.5%	5.60%	Repaid	$5,337,035	$2,769,815	$2,567,220
21	66	2025	7.3%	7.3%	3.05%	Repaid	$5,648,142	$2,972,821	$2,675,321
22	67	2026	7.3%	7.3%	3.05%	Repaid	$5,977,383	$3,190,705	$2,786,679
23	68	2027	7.3%	7.3%	3.05%	Repaid	$6,325,817	$3,424,558	$2,901,259
24	69	2028	7.3%	7.3%	3.05%	Repaid	$6,694,562	$3,675,551	$3,019,011
25	70	2029	7.3%	7.3%	3.05%	Repaid	$7,084,801	$3,944,939	$3,139,862

SCENARIO B: 2003–2022 — Middle — Dot-com recovery to COVID crash

Your total invested: $600,000	IUL @ Year 25: $6,977,460	SPY @ Year 25: $3,770,806	IUL wins by $3,206,654

Yr	Age	Cal	S&P; Return	Credited (IUL)	Loan Rate	Loan Balance	IUL Value	SPY Value	IUL vs SPY (difference)
1	46	2003	26.4%	13.5%	2.12%	$211,057	$298,676	$75,828	$222,848
2	47	2004	9.0%	9.0%	2.56%	$428,425	$607,696	$148,039	$459,657
3	48	2005	3.0%	3.0%	4.22%	$661,902	$887,486	$214,280	$673,206
4	49	2006	13.6%	13.5%	6.32%	$923,471	$1,292,661	$311,637	$981,024
5	50	2007	3.5%	3.5%	6.02%	$1,198,180	$1,590,990	$384,756	$1,206,234
6	51	2008	-38.5%	0.0%	3.13%	$1,448,827	$1,829,800	$273,569	$1,556,231
7	52	2009	23.4%	13.5%	1.24%	$1,676,031	$2,348,052	$411,791	$1,936,261
8	53	2010	12.8%	12.8%	1.29%	$1,906,993	$2,909,669	$532,086	$2,377,582
9	54	2011	0.0%	0.0%	1.25%	$2,140,088	$3,128,698	$592,086	$2,536,612
10	55	2012	13.4%	13.4%	1.31%	$2,377,506	$3,799,762	$739,531	$3,060,231
11	56	2013	29.6%	13.5%	1.24%	$2,406,987	$4,255,734	$958,432	$3,297,302
12	57	2014	11.4%	11.4%	1.23%	$2,436,593	$4,676,626	$1,067,598	$3,609,028
13	58	2015	-0.7%	0.0%	1.32%	$2,468,756	$4,606,476	$1,059,804	$3,546,672
14	59	2016	9.5%	9.5%	1.97%	$2,517,391	$4,976,837	$1,160,909	$3,815,928
15	60	2017	19.4%	13.5%	2.30%	$2,575,291	$5,574,058	$1,386,358	$4,187,700
16	61	2018	-6.2%	0.0%	3.36%	$2,661,820	$5,490,447	$1,299,849	$4,190,597
17	62	2019	28.9%	13.5%	3.16%	$2,745,934	$6,149,300	$1,675,246	$4,474,055
18	63	2020	16.3%	13.5%	1.37%	$2,783,553	$6,887,216	$1,947,641	$4,939,576
19	64	2021	26.9%	13.5%	1.05%	$2,812,780	$7,713,682	$2,471,361	$5,242,321
20	65	2022	-19.4%	0.0%	3.28%	Repaid	$4,692,938	$1,990,929	$2,702,009
21	66	2023	24.2%	13.5%	6.02%	Repaid	$5,256,090	$2,473,331	$2,782,759
22	67	2024	23.3%	13.5%	5.60%	Repaid	$5,886,821	$3,049,864	$2,836,957
23	68	2025	7.3%	7.3%	3.05%	Repaid	$6,229,975	$3,273,395	$2,956,581
24	69	2026	7.3%	7.3%	3.05%	Repaid	$6,593,133	$3,513,309	$3,079,825

Yr	Age	Cal	S&P; Return	Credited (IUL)	Loan Rate	Loan Balance	IUL Value	SPY Value	IUL vs SPY (difference)
25	70	2027	7.3%	**7.3%**	3.05%	**Repaid**	**$6,977,460**	$3,770,806	**$3,206,654**

SCENARIO C: 2000–2019 — Worst — Dot-com crash + GFC back-to-back

Your total invested: $600,000	**IUL @ Year 25: $6,178,022**	**SPY @ Year 25: $2,986,887**	**IUL wins by $3,191,134**

Yr	Age	Cal	S&P; Return	Credited (IUL)	Loan Rate	Loan Balance	IUL Value	SPY Value	IUL vs SPY (difference)
1	46	2000	**-10.1%**	**0.0%**	**7.52%**	$222,217	$262,675	$53,916	**$208,759**
2	47	2001	**-13.0%**	**0.0%**	4.50%	$448,192	$521,410	$99,061	**$422,348**
3	48	2002	**-23.4%**	**0.0%**	2.80%	$673,203	$776,263	$121,889	**$654,375**
4	49	2003	**26.4%**	**13.5%**	2.12%	$898,532	**$1,168,091**	$229,871	**$938,220**
5	50	2004	9.0%	**9.0%**	2.56%	$1,133,500	**$1,542,230**	$315,930	**$1,226,300**
6	51	2005	3.0%	**3.0%**	4.22%	$1,396,730	**$1,836,039**	$387,208	**$1,448,830**
7	52	2006	**13.6%**	**13.5%**	**6.32%**	$1,704,741	**$2,355,039**	$508,118	**$1,846,921**
8	53	2007	3.5%	**3.5%**	**6.02%**	**$2,026,483**	**$2,674,935**	$588,173	**$2,086,762**
9	54	2008	**-38.5%**	**0.0%**	3.13%	**$2,303,056**	**$2,897,486**	$398,691	**$2,498,795**
10	55	2009	**23.4%**	**13.5%**	1.24%	**$2,540,851**	**$3,543,860**	$566,254	**$2,977,606**
11	56	2010	12.8%	**12.8%**	1.29%	**$2,573,628**	**$3,943,607**	$638,621	**$3,304,986**
12	57	2011	0.0%	**0.0%**	1.25%	**$2,605,799**	**$3,884,453**	$638,621	**$3,245,832**
13	58	2012	13.4%	**13.4%**	1.31%	**$2,639,935**	**$4,347,092**	$724,260	**$3,622,831**
14	59	2013	**29.6%**	**13.5%**	1.24%	**$2,672,670**	**$4,868,743**	$938,641	**$3,930,101**
15	60	2014	11.4%	**11.4%**	1.23%	**$2,705,544**	**$5,350,261**	$1,045,553	**$4,304,709**
16	61	2015	**-0.7%**	**0.0%**	1.32%	**$2,741,257**	**$5,270,008**	$1,037,920	**$4,232,087**
17	62	2016	9.5%	**9.5%**	1.97%	**$2,795,260**	**$5,693,716**	$1,136,938	**$4,556,778**
18	63	2017	**19.4%**	**13.5%**	2.30%	**$2,859,551**	**$6,376,962**	$1,357,731	**$5,019,231**
19	64	2018	**-6.2%**	**0.0%**	3.36%	**$2,955,632**	**$6,281,308**	$1,273,009	**$5,008,299**
20	65	2019	**28.9%**	**13.5%**	3.16%	**Repaid**	**$3,986,035**	$1,640,654	**$2,345,381**
21	66	2020	**16.3%**	**13.5%**	1.37%	**Repaid**	**$4,464,359**	$1,907,424	**$2,556,935**
22	67	2021	**26.9%**	**13.5%**	1.05%	**Repaid**	**$5,000,082**	$2,420,330	**$2,579,752**
23	68	2022	**-19.4%**	**0.0%**	3.28%	**Repaid**	**$4,925,081**	$1,949,818	**$2,975,263**
24	69	2023	**24.2%**	**13.5%**	**6.02%**	**Repaid**	**$5,516,091**	$2,422,259	**$3,093,832**
25	70	2024	**23.3%**	**13.5%**	**5.60%**	**Repaid**	**$6,178,022**	$2,986,887	**$3,191,134**

2. THE FULL PICTURE — WHAT DOES EACH OPTION ACTUALLY GIVE YOU?

	Option A: $60k into IUL	Option B: $60k into SPY
Your cash invested (10 yrs)	$600,000	$600,000
Value at Year 25 — Best case	**$7,084,801**	$3,944,939
Value at Year 25 — Middle case	**$6,977,460**	$3,770,806

Value at Year 25 — Worst case	**$6,178,022**	$2,986,887
IUL advantage at Year 25	**$3.1M – $3.2M MORE than SPY**	—
Why IUL wins here	The $600k reduces the loan AND the full $266,675/yr premium still compounds in the policy — you get leverage on $266k but only paid $60k	Your $60k grows to $3–4M. No leverage. No compounding on borrowed money.
Death benefit (Yrs 1–20+)	**$5,000,000 (income-tax-free to heirs)**	**$0**
Tax-free income from Year 21	**Yes — ongoing policy loans, no tax**	**No — SPY gains taxable on withdrawal**
Downside protection	**0% floor — policy never loses value from market crashes**	**Full downside exposure — 2008 your $60k could drop 38%**
2008 crash impact	**IUL credited 0% — held stable**	**SPY lost 38.5% — your balance cratered**

BOTTOM LINE: Putting your $60k/yr into the IUL (reducing the loan) produces 1.7x–2.4x MORE total value at Year 25 compared to investing that same $60k directly in SPY. The reason: in the IUL your $60k reduces the loan but the full $266,675 premium still compounds in the policy — you are essentially getting $4.45 of compounding asset for every $1 you put in (leverage from the borrowed portion). SPY gives you only $1 of compounding for every $1 invested. Add in the $5M death benefit and tax-free income, and the IUL contribution is the better use of your $60k.

S&P; 500 price returns and SOFR from public historical data. Policy charges ~1.5%/yr proxy. Cap 13.5%, Floor 0%. Tax implications excluded. $5M policy, age 45 start. Not financial advice.